



CHARTERED CLUB RULES AND PROCEDURES

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INTRODUCTION

Chartered Clubs are comprised of any group of Sun City Hilton Head residents who share a common interest in a hobby, social, cultural or recreational activity and that has met the Board approved criteria required for a formal charter.

It is important for club leaders to understand the organizational structure of Sun City Hilton Head. Using the correct terms will facilitate better communication and help understand this document.

There are three corporations in this community:

1. **Developer:** Pulte Group, Inc. builds the infrastructure, the homes and the amenities. Del Webb and Sun City are brand names of Pulte Group, Inc.
2. **Community Association:** Sun City Hilton Head Community Association, Inc., is owned by the residents. The Community Association has a Board of Directors with five members, three appointed by the developer and two are elected by the residents. There are also two non-voting alternates appointed by the Developer. The makeup of the Board of Directors may change as build out approaches. The Board of Directors sets policy. All chartered clubs are part of the Community Association. Accordingly, clubs must provide information so the Community Association can file tax returns and comply with State and Federal law.
3. **Management Company:** The Community Association contracts with the Management Company to perform various services. The Management Company employs all Directors, and other select staff to implement policies set by the Community Association Board. Most of the employees that the clubs deal with (i.e., Lifestyles Director, Facilities Services Director and Controller) work for the Management Company.

The Board of Directors has delegated to the General Manager the authority and responsibility for the administration of chartered clubs to include:

- Approval and maintenance of charters
- Maintenance and application of the Chartered Club Rules and Procedures within the guidelines of Governing Documents and policies established by the Board
- Ongoing education, communication and training programs related to chartered clubs

The **Governing Documents** for the Sun City Hilton Head Community Association, Inc., as referred to in this document include, but are not limited to the following: *Articles of Incorporation, By-Laws, Declaration of Covenants, Conditions and Restrictions ("CC&R's"), and Schedule of Fees and Community Rules.*

Chartered clubs established by the Community Association are required to comply with the CCR&P's. Club officers and executive board members are obligated to comply with the letter, spirit and intent of the CCR&P's. They are also provided maintenance support, insurance coverage and administrative assistance and guidance.

SECTION ONE

GENERAL INFORMATION

1.1 AUTHORITY:

The authority to charter a club rests with the General Manager. All rules, regulations, and procedures outlined herein shall agree with the Community Association's Governing Documents. In the event of a conflict the Governing Documents prevail.

1.2 RESPONSIBILITIES:

A. The General Manager has the responsibility to coordinate and implement policy, as well as participate with the Lifestyles Director in the development of chartered club administrative rules, policies and procedures.

B. The Community Association's Lifestyles Director and Lifestyles Services staff are responsible for assisting clubs with operational and financial concerns, and coordinating special programs for implementing the rules, regulations and procedures for chartered clubs, and allocating facility space. The Lifestyles Director is the focal point for coordinating all chartered club activities.

C. A club's executive board members are elected in accordance with each club's by-laws. The Executive Board shall be the governing body of the club and is responsible for the club's internal operations.

1.3 ADMINISTRATION:

To assist clubs in the administration of their programs and to provide the Community Association with necessary operating data, a series of Chartered Club forms have been developed. All chartered club forms are identified by the prefix "CC", for Chartered Club. General use forms are designated "CA" for Community Association and may be used by clubs and others. The forms are shown in Appendix A of this document. Copies of these forms are available from Lifestyles Services in Palmetto Commons as well as on the Community Association website.

1.4 SANCTIONS:

Charters may be revoked for the following reasons: when club membership declines below the established minimums; when clubs violate Community Association policies or rules; when an irreconcilable conflict occurs within the membership; when a situation occurs, which projects the club or the Community Association in an undesirable or embarrassing position; or when a club violates federal, state, or local government laws or ordinances as well as any IRS codes. The first abuse will necessitate a written warning or meeting with Lifestyle Services. The second abuse shall result in \$100.00 fine and/or the loss of the ability to book rooms for this chartered club and/or schedule events or use their dedicated club space for up to three (3) months. Continued abuse shall result in loss of club charter and dedicated space. The General Manager is authorized to levy sanctions commensurate with the nature of the violation. This decision may be appealed in writing to the General Manager, within 14 days of the Lifestyle Services recommendation.

1.5 WAIVERS:

Waiver Request and Appeal Process

- Any club which cannot reasonably comply with any part of these CCR&P's may request, in writing, an exemption from Lifestyle Services.
- The executive board of a club will first approve the proposed waiver, and then present it to its members, where it must be approved by a vote as provided in the club's by-laws.

- The club president shall forward the proposed waiver, along with a letter of explanation, to Lifestyle Services.
- The following are waiver or appeal application considerations:
 - The primary goal of a waiver should be to benefit the club and club members. Inclusion of statements explaining these benefits are essential.
 - Statements should be included identifying that approval of the waiver request or appeal would have negligible negative impact on:
 - The club and club members
 - Other chartered clubs
 - Residents' lifestyle
 - SCHH Community Association

SECTION TWO

ESTABLISHING A CHARTERED CLUB

2.1 PREREQUISITES FOR CLUB FORMATION:

Residents requesting to create a chartered club, should complete Form CC 10 “Chartered Clubs Application” and submit to Lifestyles so a determination can be made if they qualify as a chartered club. A review of each request will be conducted with input from the Lifestyles Services’ staff. After review, a determination will be made by the General Manager. The prospective club contact person will be notified of the results. Meetings can be set up to aid in enlisting members. Once the group has a minimum of 75 members and qualifies to become a chartered club, Form CC 40 “Chartered Club Approval” must be filled out and sent to Lifestyles. To maximize facility space, charters will not be granted to prospective clubs whose purpose is similar to existing clubs.

Charters are not granted to prospective clubs who require or imply the requirement of an affiliation with any national, state, or regional organization as a precondition for club membership. Any affiliation must be optional on the part of the individual member. Charters will not be approved for prospective clubs that are applicable to a limited segment of the community’s population or any group that sets a restrictive precondition for membership. Club charters may not be granted to prospective clubs whose purpose is similar to existing clubs or includes alumni, vocations or occupations, states, cities, geographical locations, religion, politics, national affiliation, etc. Membership must be open to all bona fide members of the Community Association without discrimination as to race, religion, color, ethnic culture, or national heritage.

Note: Segregated activities for male and female members may be established if desired by both genders, and each gender has the same opportunity to pursue common interests; e.g., men’s and ladies golf clubs.

A. Thoroughly review a copy of the “Chartered Club Rules and Regulations” to become familiar with the Chartered Club system. Lifestyle Services will be glad to clarify questions and provide general assistance. Complete Form CC 10, “Chartered Club Application” and forward it to Lifestyle Services. A determination will be made by the General Manager. He/she will then notify

the prospective club contact person of the approval to continue the process of becoming a chartered club.

B. Prospective clubs approved for charter can begin to hold an initial organization meeting and prepare draft by-laws, obtain a membership roster and elect interim officers. Minutes of the meeting is required and must document the approval of the by-laws by the club's members. The By-Law Guidelines may be found in Appendix B (Form CC 30) of this document and define the by-law requirements. The "By-Law Template" may be used as a template and modified to fit club's operational goals. Any modification must comply with the "By-Law Guidelines".

C. Submit Form CC 20, "Initial Membership Roster"; Form CC 40, "Club Charter Approval", Form CC 50 "New Club Officers" and a copy of the club by-laws and deliver the application package to Lifestyle Services.

D. Lifestyle Services will review the completed package to ensure that all required elements are included. If not complete additional requirements for processing will be requested.

E. When all requirements have been satisfied, the Application Package will be forwarded to the General Manager for consideration. The General Manager, after receiving comments from the Lifestyle Director, will then make a determination. This process will require a minimum of two weeks. If approved, a signed copy of the by-laws and Form CC-40, "Club Charter Approval", will be presented to the club president.

F. A Community Association federal tax identification number will be provided from the Lifestyle Department for the club to use when opening a bank account.

2.2 PROCEDURES FOR CHARTER APPLICATION:

A club charter is the formal authorization granting official status to a club in the Community Association. Chartered Clubs are given priority to use facilities for regular meetings and/or activities on a space available basis and are entitled to special rates for the use of those facilities. Clubs are also extended specific coverage from the Community Association's insurance program; they are also provided technical assistance in the administration and operation of their activities from association management.

A. Once chartered, clubs may not merge with another non-Community Association entity and require its members to join another corporation or become incorporated in its own right. If a merger or incorporation occurs, the club's charter will be revoked.

B. Clubs may form sub-groups, i.e., special interest groups, music interest groups, chapters. All rules and procedures for clubs apply to sub-groups except they may have less than 75 members and they may or may not have dues. The club will be responsible for submitting a list of all their sub-groups and a roster of members in each sub group. All required documentation shall be consolidated as a single report for the club when provided to Lifestyle Services, i.e. Financial Reports.

C. All clubs chartered before January 1, 2019 will retain their charters at a minimum of 40 members. If, for any reason, any of these clubs gives up their charter and then requests to be chartered again, they will have to comply with the current requirements.

D. To maximize facility space, charters will not be granted to prospective clubs whose purpose is similar to existing clubs. For example, if the Ballroom Dance Club has been chartered a second

group desiring a charter to do the same thing would be denied. Prospective clubs which are similar may contact an existing Club which will establish sub groups for special interests within the club.

2.3 GENERAL:

Clubs must maintain their membership at a minimum of 100 members or above yearly or lose their charter. Membership in Chartered Clubs is limited to activity card-holders in good standing with the Community Association. Prospective clubs will be allowed three (3) complimentary meetings, subject to availability, within the first three (3) months for promoting their club. Prospective clubs will also be allowed to be listed in the Club's News section in *SunSations*, *SCHHCA Club and Group e-Newsletter*. If, for any reason, a club gives up its charter and then requests to be chartered again it will have to comply with the current requirements.

2.4 CLUB FILE:

The Official Club file will be kept with Lifestyle Services. The file will contain the following documentation:

- Form CC 10 -Chartered Club Application
- Form CC 20 -Initial and Annual Membership Roster
- Form CC 50 -New Club Officers
- Form CC 90 -Annual Financial Reports
- All correspondence between Lifestyle Services and club officers.
- Form CC 40 -Chartered Club Approval and approved By-Laws and amendments (as applicable).
- Any other applicable forms such as CC 70, 80, 90, 92, 95, 96, 130

Note: In the event of a conflict between the Association's Files and Club Files, Association's File copies will take precedence.

2.5 ALLOCATION OF FACILITY SPACE:

The allocation of space to chartered clubs is dependent upon membership and the availability of Community Association space. As space allows, chartered clubs are provided with regular meeting and activity space. The Community Association reserves the right to preempt club space whenever the needs of the general community require it. Chartered club meetings may be rescheduled or relocated on an as needed basis to facilitate Community Association and Developer functions. Any such preemption will be communicated through Lifestyles Services. Although facility space may be dedicated to a club for full-time use, the facility and all equipment and furniture located therein remain the property of the Community Association. Clubs that have dedicated space must provide a minimum of 20% of their scheduled operating time for non-member use.

Refer to the Community Rules and Fee Schedule located on the Sun City website in regards to the order of priority for facility space.

SECTION THREE

MEMBERSHIP AND CLUB OPERATIONS

3.1 MEMBERSHIP:

All residents with a current Community Association activity card are qualified to join a chartered club. Prior to joining a club, Community Association Members are encouraged to visit with the chartered clubs to experience their activity. Following the number of visits as defined in a club's by-laws, and the explanation of club operations and programs, regular club membership will be required for continued participation in club activities. See also 3.2 Guests.

A. When joining a club, a resident shall be required to present their Activity Card. Club membership is required to be renewed annually. The Executive Board of the chartered club is also responsible for providing an annual membership roster listing names and their Community Association number to Lifestyles. This list should include members of all sub-groups.

B. Club functions are only open to club members and valid guests. Therefore, clubs cannot publicize their functions or meetings in local media inviting the general public to attend without prior written approval of the Lifestyles Director. The *SunSations* magazine and Sun City TV should be used to publicize these types of club functions and meetings. This provision does not prohibit clubs from publishing informational articles on club activities.

C. Proper conduct and decorum is expected. All chartered club members are expected to respect club property and the rights of others and be courteous in all dealings with fellow members. Club members who become abusive, project an undesirable or inappropriate image, or who blatantly create turmoil, disruption, or dissension among club members, other clubs or the Community Association in general may have their club memberships suspended. In the event that club situations occur requiring intervention, the internal club intervention process will be the first step taken in the resolution process.

Note: Clubs must have internal intervention procedures noted as a part of their process in their by-laws. Should that step fail to resolve the concern and outside intervention and confidentiality are required; the following procedures will be followed:

1. All issues should first be discussed with the club's executive board prior to submitting this form.
2. A written complaint should be filed on Form CC 130, "Request for Chartered Club Problem Resolution", by a club board member or the Executive Board to address a club issue that needs to be resolved.
3. This form is to be completed and returned to Lifestyle Services.
- 4 Lifestyle Services shall analyze the concern, using input from staff and others then render a decision which will be communicated in writing to the club member.
- 5.If the club wishes to appeal this decision, they may do so in writing with additional information to the General Manager.
- 6.The General Manager's decision is final and the Lifestyles Director will communicate the decision.

3.2 GUESTS:

The term "guest" for purposes of this document shall be defined as an individual who is not a member of the Chartered Club whose functions they are attending.

A. Resident Guest:

All residents with a current CA activity card are qualified to join a chartered club. Until they do so, they are considered guests. Before joining the club, or paying guest fees, unless otherwise defined by a club's by-laws, a guest may attend a maximum of three meetings/activities per year.

B. Non-Resident Guest:

Non-resident guests do not qualify for club membership. Guests may be charged a reasonable fee by the club and must meet all respective club requirements for safety, training and individual decorum. Unless further restricted by a club's by-laws, or included in the exceptions below, a guest may attend a maximum of three meetings/activities per year.

C. Developer Guest:

During the period of community development, and as long as the Developer has the capability to annex land into the community, "Explore Del Webb" visitors, prospective home buyers, and developer employed sales associates are considered Developer Guests. Depending on the nature of Club Activities, Explore Del Webb visitors and prospective home buyers may be permitted to participate in Club Programs. Sales Associates may only use Community Association/Club Facilities when accompanying a prospective home buyer.

3.3 CLUB OPERATIONS:

A. Posting of Club By-Laws and Written Operating Procedures:

By-laws must be made readily available to club members and guests. Operating Procedures (as applicable) must also be readily available. While the extent of written operating rules is at the discretion of the club, all clubs using power machinery (portable or fixed) shall develop and post written operating rules pertaining to safety and machine operating procedures (where posting is not applicable, operating instructions and by-laws shall be readily available at each activity).

If, in the eyes of the club's executive board, a club member cannot physically comply with operating rules and procedures, the club board may temporarily suspend that member's facility use privileges related solely to the non-compliance issue. Prior to taking such action, however, the club should make every effort to provide additional training, instruction and assistance in an effort to qualify the member. A suspension of this nature will be made solely to protect the well-being of the member, and the best interests of the Community Association and club. This decision may be appealed in writing to Lifestyle Services within 14 days of the club's board recommendation.

B. Election and Appointment of Officers and Directors:

Clubs shall have at least three (3) members of the Executive Board (President, Vice-President, Secretary, and Treasurer, or a Secretary/Treasurer). Some clubs may have the Past President or a Member at Large on their board. Any one member may not hold more than one position on the executive board. No two members of the same household may serve on the same executive board.

A slate of Officers shall be elected by November 30th and shall attest that he/she has read, understands and will abide by the club's by-laws and the CCR&P's by signing the New Club Officer's form, CC-50, and forwarding it to Lifestyles Services by December 1st or within 14 business days of election, when a change occurs. Interim appointment procedures must be followed per club by laws within 14 days of the vacancy.

A quorum at a regular or special meeting shall consist of a minimum of 10% of the club's members at that time.

Voting procedures, unless otherwise stated in a club's by-laws, must have a majority vote by show of hands, secret ballot or electronic ballot and shall be considered the will of the club.

C. Operating Responsibilities and Procedures:

1. Required Reports:

All chartered clubs must submit reports in accordance with the by-laws and as required by the CCR&Ps and Lifestyles Director. See Appendix A – List of Chartered Club Forms.

2. Club Records

- Retention:
 - Correspondence and Meeting Minutes-3 years
 - Financial Records -7 years (prior to current year)
 - Charter Approval and By-Laws – life of the club
- Club records shall be created and converted to digital form and can be posted on the SCHH website.
- Club membership records containing Activity Card numbers shall be considered private. Requests for club information should be handled by the club's board members or a club member authorized by the club board to conduct official business.
- Upon retiring from office each outgoing club officers shall deliver all records, upcoming reservation details and historical information belonging to the club, as well as all Community Association property in their possession to the incoming officers.

3. Club Communications:

The Communication Department will work with the clubs when new ways to communicate are introduced.

- ***SunSations:***

Input for *SunSations* shall be submitted to SunSations@schhca.com in accordance with the posted submission guidelines. The purpose of the monthly submission is to provide a newsworthy synopsis of your club's upcoming functions. Contact names will remain until a change is submitted.

- ***Sun City TV:***

Input for the television station can be emailed to suncitytvhh@gmail.com

- ***Club and Group eNewsletter***

Input for this can be emailed to communications@schhca.com in a word document or in the body of an email. The newsletter is sent out twice a month.

- ***Club Bulletin Board:***

Each chartered club is allowed one flier for each of the four facilities to advertise for a specific function to be posted on the club bulletin boards 3 weeks prior to the event. The flier's maximum size is 8 1/2" by 11". All fliers shall be dated and submitted to Lifestyles Services. All will be removed immediately after the specific function.

- ***Club Display Case:***

Clubs may sign up for one month's use of a club display case located in the Pinckney Hall. Sign-up is on a first come basis, and is scheduled through Lifestyles. Submissions for the upcoming year begin October 1st.

- **SCHH Website:**

Shall be used to store all Club documents including By-Laws, Operating Procedures, Minutes and Financial documents as well as photos, meetings and officer names and how to reach them.

- **Lower Mailbox Flyers:**

Clubs may distribute flyers community-wide for special events. An approval stamp must be on all flyers. To obtain the stamp, submit flyer to the Lifestyle Director. See Board policy 1209.7 for all restrictions regarding lower mailboxes.

- **Event Signage:**

Special event signage may be posted in designated locations with prior approval from Lifestyle Services. Signage may go up the day before the special event and must be removed after event is concluded.

4. Maintenance Issues:

Maintenance issues in any amenity shall be reported by logging on to the Sun City website at www.suncityhiltonhead.org and selecting and completing a work ticket or by emailing webhelpdesk@schhca.com

5. Annual Charter Club Meeting

Meeting will be scheduled and conducted every year to educate club officers on chartered club procedures and requirements. This is a mandatory meeting. One Executive Board Officer must attend, and sign-in or the club will lose the ability to schedule rooms until this requirement is met. In addition, all new treasurers must attend the treasurer breakout session.

6. Club dissolution:

If a club disbands, all club assets (monies, equipment, and furniture) shall be documented and physically relinquished to Lifestyles Services. If a club charter is revoked, and the group remains intact as a non-chartered club, all assets purchased for, or on behalf of that club will be relinquished to Lifestyles. In all situations, club-incurred debts must be satisfied by the club prior to final dissolution. The Lifestyles Director will assist clubs in all efforts relating to dissolution.

3.4 FACILITY SCHEDULING AND USE OF FACILITIES: Refer to the *Community Rules and Fee Schedule* located on the Sun City website.

A. General Use:

Chartered clubs may reserve room space for membership meetings, regular club activities, and two (2) functions per year without charge. (2) Functions max without charge per parent club unless approved by the Lifestyle Director. Shows/Productions will be limited to four (4) functions per year with a fifth function that shall be approved by the Lifestyle Director. Productions are limited to four (4) consecutive days of performances per production. Written agreement will be executed and will include all definitive language concerning rehearsals, set up, set construction, breakdown and rental fees. Exceptions to this rule require the Lifestyle Director's approval. If a club requires something that is not listed on the Room Reservation, they shall meet with the Lifestyles Department. The Community Association reserves the right to charge that club for additional incurred expenses. Scheduling of shows and/or production days must be approved by the

Lifestyles Director. Chartered Clubs are granted one (1) community wide function per year. See Section 27 in the Schedule of Fees and Community Rules for guidelines.

B. Allocated Facility:

Depending on the nature and size of a desired activity, Lifestyles Services will determine the facility to be allocated. In all cases, the decision will be based on maximizing facility utilization. The Community Association reserves the right, at all times, to deny, adjust, cancel, move or reschedule meeting space as deemed appropriate. The priority of this will be done as set by the Board of Directors and defined in the current version of *Schedule of Fees and Community Rules*.

Note: Clubs are not permitted to engage anyone to modify, alter or otherwise repair Community Association facilities or equipment. If such action is desired a written request should be forwarded to the Executive Assistant.

C. Smoking Policy (See *Schedule of Fees and Community Rules* for entire policy):

See Community Rules for smoke-free areas.

D. Alcoholic Beverages (See *Schedule of Fees and Community Rules* for entire policy):

The Community Association holds the liquor license for Sun City Hilton Head property with exception of the on-site restaurants. Only those licensed by the state of South Carolina are permitted to sell alcohol at certain locations within Sun City. If alcohol is purchased with Chartered Club funds, only those licensed by the state of South Carolina are permitted to serve/sell alcohol.

E. GAMBLING - SOUTH CAROLINA LAW (See *Schedule of Fees and Community Rules* for entire policy)

You must follow the South Carolina Laws.

3.5 PROGRAM SUPERVISION AND SAFETY:

A. Club Monitor/Manager:

Monitors/managers are mandatory for clubs that use tools or where there are safety issues involved. Clubs must designate a club member to act as facility monitor/manager to ensure that Community Association and club operating policies and rules are satisfied. If a program involves more than one room or if one room is too large for one monitor/manager to properly oversee, additional monitors/managers may be required. If club members are unwilling, or unable to properly monitor/manage the facility, the club program will be temporarily suspended until proper supervision can be arranged. In the event of disagreement between a monitor/manager and club participant, the position of the monitor/manager will prevail in all instances. A monitor/managers' decision may be appealed to the club's executive board but, until such appeal is heard and acted upon, the monitor/managers' decision prevails.

B. Open Work Time:

Clubs that have dedicated space are encouraged to provide a minimum 20% of their scheduled operating time for member use that is unencumbered by lessons, meetings, or other planned group activities. If demand for certain equipment warrants; clubs may establish rules, which limit the amount of time the equipment is used by a single person, or establish equipment reservation schedules. Clubs who share a dedicated space (e.g. Computer Room, Photography, Art Rooms, Ceramics, Sew What Club, Card Room, etc.), must allocate the use of the space within the club and not with Lifestyle Services.

C. Safety Program:

Any club using power machinery (portable or fixed) shall establish and post written safety rules for the operation thereof. Lifestyles Services will work with each club on these issues.

1. All incidents or accidents occurring in club facilities (whether requiring medical attention or not) will be immediately reported to the respective club facility monitor/manager using Form CC 70, "Incident/Accident Report". While the facility monitor/manager will be responsible for documenting pertinent details on the report, club officers shall ensure that the report is sufficiently detailed to allow for a meaningful review. The report is forwarded to Lifestyles Services within 24 hours of a reported incident or accident. The Association's Security shall be contacted by the club in the event of any serious incident/accident.
2. Club officers shall ensure that club facility monitors/managers are well qualified in the use of shop equipment, and properly trained in Community Association club operating rules, related safety awareness and prevention measures. Monitors/Managers will be provided with the appropriate emergency telephone numbers. Monitors/managers have the authority to deny the use of equipment to any individual who, in the monitor/manager's judgment is either unable or unwilling to abide by posted rules and procedures.
3. All clubs using power machinery (portable or fixed) shall develop and post written operating rules pertaining to safety and machine operating procedures (where posting is not applicable, operating instructions and by-laws shall be readily available at each activity).

SECTION FOUR

FINANCIAL CONTROLS AND PROCEDURES

4.1 RECORDS AND ACCOUNTABILITY:

The club's treasurer (secretary/treasurer) is responsible for controlling and recording club revenues and expenses and providing financial reports to the executive board and membership. The purchasing of all equipment and furniture over five-hundred dollars (\$500.00) which is intended to become a permanent asset of the Community Association, must be reviewed and approved by Lifestyles. Clubs are encouraged to have an annual budget. The budget should be developed by the treasurer working with the executive board. The budget shall be approved by the general membership.

A. Club By-Laws:

Club By-laws and Operating Procedures should specify the level of financial control and reporting that is needed. Generally speaking, clubs with large dollar requirements would specify more stringent levels of control. All by-laws shall include procedures covering the following:

1. Check and balance procedure to preclude a single individual from ordering, receiving and dispersing equipment, furniture or supplies.
2. Dual signatures are required on all checks over \$500. Electronic payments require two signatures on invoices or backup documentation supporting the creation of the check.
3. Annual register and reconciliation of resale items if any.
4. Dues amounts are recommended by the executive committee for new clubs and shall be approved by the membership and existing club's increases shall be approved by the membership.

5. Revenues are deposited in a bank account established in the club's name. All disbursements shall be made by check or from an approved petty cash fund with purchase receipt or invoice retained with documentation. Disbursements shall not be made from cash, which has not been deposited in the club's account. Debit Cards may be issued to club officers that are signers on the club's checking account.
6. All club financial transactions shall be recorded and are part of the club's records.
7. A financial report to the membership by the club treasurer shall be part of the regular club membership meetings. This presentation should be recorded in the minutes of the meeting.

B. Annual Financial Report:

Clubs are required to submit Form CC 90, "Annual Financial Report" to Lifestyle Services by January 31st of each year. All required documentation shall be consolidated as a single report for the club and their sub-groups, and all shall be signed by the club president, treasurer and a non-executive board member. A copy of the report will be retained in the official club file. Clubs are required to meet with the Finance Committee when requested.

Form CC 92, "1099 Information Form" shall be turned in to Lifestyles Services by January 10th of each year. The club should consolidate these from their sub-groups. The Community Association reserves the right to require any club to engage the services of a professional auditor to independently certify club accounts.

Note: Since club financial operations are recorded under Community Association tax returns, clubs do not obtain a separate Federal Employer Identification Number, or otherwise file separate Internal Revenue Service tax returns.

C. Chartered Club Donations:

Chartered clubs may accept cash or equipment as a donation. Since the donation cannot be reported as a deduction to the Internal Revenue Service, Form CC 100, "Chartered Club Donation Form" must be provided to the donor within 10-days.

4.2 CONTRACTS FOR PAID SERVICES:

Formal contracts provide financial accountability and transparency for the club membership and protect the Community Association from liability. Contracts are required for services provided inside or outside Sun City. Examples would include instructors, caterers, storage space, entertainment, etc. Contracts shall have duration not to exceed 12-months. In all cases, clubs shall complete an appropriate contract for services and have that contract approved by the Lifestyles Director prior to each service.

The need to provide qualified program instruction to a club membership depends on program difficulty, the availability of qualified instructors, and the skill level of those desiring the service. To ensure high quality instruction, the Community Association encourages this type of contract service, but asks the clubs to remain sensitive to member income levels and their capability to pay additional fees. While non-Community Association members may be used to provide these paid services, Clubs are encouraged to seek qualified instructors from within their own membership. Contracts with any required attachments (i.e. CC80, CC81 and CC84) shall be submitted to Lifestyles Services prior to each paid service.

A. Contract for Paid Services:

A Contract for Services, Form CC 80, and an Acknowledgement of Insurance, Form CC 81 are required for any person or organization engaged by a club that is compensated to provide a service at a meeting, training session, party, game or any other function unless otherwise specified by Lifestyle Services whereas a certificate of general liability is required. A contractor is defined as any person or organization engaged for a fee regardless of whether they are club members or non-members, residents or non-residents. A contractor who works for more than one club must have a Form CC80 and CC 81 for each club. Failure to submit a contract for approval shall result in an appropriate sanction.

Workers Compensation Insurance is required per South Carolina law only if the contractor has four (4) or more employees. Form CC 84, W-9 is required for each contractor, for each person. The signed Form CC 80 and Form CC 84 (W-9) shall be submitted to Lifestyles. A Contract for Services Form CC 80 is required also when a club contracts for a vendor service outside the boundaries of Sun City Hilton Head. An example of this are; contracting for the use of a storage area. If the vendor has his own contract it may be used. Vendor passes must be called in to the Main Gate-for all vendors/contractors (even if they are just dropping off food). Vendors dropping off food must have been approved by Lifestyle Services. Check with Lifestyle Services if the selected caterer has a current Certificate of General Liability Insurance and proof of an applicable business license filed with the Community Association before the function.

B. Fees:

All fees generated as a result of a Contract for Paid Service program shall be remitted to the club treasurer and deposited into the club's checking account. The treasurer makes payment to the contractor and documents the transaction accordingly in club financial records.

Note: When establishing a fee to be charged to those club members participating in the contracted program; clubs shall set the fees at an amount no more than 15% higher than the amount to be paid to the contractor and may retain the difference to support other club operating requirements. When establishing such a fee, the percentage to be retained and the rationale for the action must be approved by the club's executive board.

C. Participants:

In publicizing instructional classes, clubs shall ensure adequate promotion to allow all members an equitable opportunity to register. When a waiting list is established, members shall not repeat classes until the waiting list has been exhausted. If a series of lessons is required to complete a course, clubs may allow participants to progress through the entire lesson series. Instructional programs shall be geared to all skill levels; i.e., beginner, intermediate, advanced.

D. Officer:

An officer of a club shall not enter into a Contract for Paid Services agreement with the club to which he/she is an officer, unless it is determined by the club's executive board that another qualified and reasonably priced individual is not available. In such situations, the club executive board's action shall be officially recorded in board meeting minutes and reported to the general membership.

E. Scheduling:

Private, individualized instruction by the club in Community Association/club facilities is only permitted during times of low membership usage or during times that do not preclude facility use by other Community Association club members.

F. Recordkeeping:

Clubs are responsible for keeping a detailed accounting of all Contracts for Paid Services and services for tax purposes and must complete and submit Form CC 80 "Contract for Paid Services", Form CC 92 "1099 Information Form" and Form CC 84 "W-9 forms" to Lifestyles Services. Form CC81, Liability Waiver, when used, is to be retained by the club and kept with the club's records. All sub-groups will copy the chartered club on all the above documents.

4.3 FINANCIAL REVIEW:

As part of its oversight responsibilities, the Community Association may periodically request to review club financial records and related documents. Any attempt to delay or disrupt such a review by club members may place the club's charter at risk.

4.4 CLUB/COMMUNITY ASSOCIATION PROPERTY COVERAGE:

The Community Association maintains insurance coverage for all general membership activities and programs including all chartered clubs. Equipment, furniture, etc. purchased by or donated to clubs becomes the property of the Community Association and is therefore covered under the Community Association's master policy, subject to the terms, conditions and limitations of that policy. The primary responsibility to maintain and replace equipment used by the club is to the club itself. All personal items used in club activities are not covered under the Community Association's policy. Property purchased by clubs shall be reported to the Association and stored in locations approved by the Association. Property not reported or stored in places other than approved by the Association will not be covered by the master policy. Property (equipment, furniture, etc.) over \$500 in replacement value that is under the control of clubs should be listed annually on form CC95 "Equipment, Furniture & Other Property" and sent to Lifestyles.

A. General Liability:

General Liability coverage is extended to chartered club members acting on behalf of the Community Association and acting within the program authority specifically granted by the respective club's charter while on property; subject to coverage extensions and coverage exclusions as may be defined in policy language.

B. Medical:

Medical coverage is NOT provided by the Community Association. If a club member gets hurt while participating in a club activity they are NOT covered and are responsible for their own medical expenses.

4.5 RESALE ACTIVITIES:**A. General:**

As a non-profit homeowners association the Community Association must be mindful of its tax-exempt status by not overly portraying itself in a commercial image. However, as a convenience service to members and guests, resale operations related directly to the membership program are permitted. Sales by clubs and their members are limited to Sun City residents with valid Activity

Cards and their guests. No outside advertisements are permitted to the general public and only residents and their valid guests may participate in sales held by the clubs without the prior approval of the Lifestyles Director.

B. Supplies to Members:

Clubs may sell supplies related to the club's purpose to its membership and retain a reasonable return on investment to assist in club operations. Supplies may be displayed in club areas as a convenience to members, but should not be displayed to give the appearance that they are available to the general public.

C. Sales and Use Tax:

The Community Association has a responsibility to ensure that all Sales and Use Taxes are reported and paid on items purchased or sold by clubs. There are three situations when sales tax must be reported and paid by the club. They are as follows:

1. When the club sells an item. For example, a club may purchase T-shirts to sell as a fundraiser. Or a club may purchase an item to add to its inventory or supplies and resold later. For example, lumber purchased by the Woodworkers club and added to its inventory which is later sold to a member. Or an item may be created by a member and sold in a facility of the Association, such as sales by the Sew What Stitches and Crafts Club at their first Saturday sale.
2. Non-Taxed Purchases: The purchase of items for club use from out-of-state, a catalog or online, if the purchase is not taxed by the vendor.
3. Club Use of Non-Taxed Items: Items previously purchased tax-free as inventory or supplies that are pulled out for use by the club. For example, lumber that the Woodworkers Club purchased as inventory is pulled out of inventory to make a bench for the shop. The club must now pay "use" tax on the lumber.

Using the Resale Certificate (ST-8A):

When a club purchases items for resale or there is a possibility that the item will be resold, then the club should provide the vendor with a Resale Certificate (form ST-8A) which allows the vendor to sell to the club items and not collect sales tax. By submitting the Resale Certificate to the vendor, the club is accepting responsibility for the collection and remittance of any sales tax due as a result of the resale or club use of the goods. It also avoids the payment of sales tax twice on the same item. Resale Certificates, ST-8A may be obtained from Lifestyles Services.

The club collects and pays the tax when the product is sold. The tax may be added to the price at the time of the sale or the club may "gross-up" the price of all of that type of product adding the sales tax into the price of the product. As an example, the Woodworkers buy lumber from a supplier to whom they present an ST-8A Resale Certificate; therefore, they don't pay the vendor sales tax. The price list for lumber in the Woodshop includes the sales tax.

If a finished product is sold by one member to another member or a guest outside of club facilities the sales tax is the responsibility of the member. However, if the sale is consummated in an Association or club facility the club is responsible for collecting the tax.

If supplies are purchased and tax is paid to the vendor on the supplies but the supplies are used to make a finished product which is sold by the club or in an Association facility, i.e. a quilt, jewelry box, tax shall be collected on the sales price of the finished product.

Non-Taxed Purchases: If a club purchases equipment, furniture, supplies or other items that will be used by the club, tax should be paid to the vendor at time of sale. If the vendor does not charge tax, then the club is responsible for paying the tax.

Sales and Use Tax Reporting:

Clubs involved in the sale of items, or who make purchases that are not taxed by the vendor, or who use previously untaxed supplies for the club, should report such transactions quarterly on Charter Club Form CC93. This form and a check for the tax due shall be submitted to Lifestyles Services quarterly no later than the 10th business day after the quarter ends (April, July, October, and January). The check shall be made payable to SCHHCA, Inc. Late submissions may be subject to a penalty/fine.

Sales Tax on Finished Products:

The Community Association has purchased two retail licenses, one for the Yemassee Craft Center and one for the Woodworkers and Model Makers shop to allow for the collection of South Carolina sales and use tax on all products sold.

To include:

- First Saturday Sales in the craft rooms of the Yemassee Craft Center and the Woodworkers Shop
- The Art Club twice annual show and sale events
- Occasional sales by clubs from craft rooms and woodworkers shop providing the sales tax is collected by clubs and remitted to Lifestyles Services.
- Clubs assuming the responsibility of managing their space and equipment usage, collecting revenue from product, remitting tax money to Lifestyles Services, and paying product makers for products sold
- Audit procedures by clubs to assure the Association is in compliance.
- Continuation of the Craft Fair prior to the holiday season providing:
 - Requirement that independent vendors supply a crafters or retail license for inspection prior to purchase of a table
 - Clubs who purchase tables for sales by members, remit sales tax for items sold through the club
- Requirement for a club to establish a policy that compensates the club and thereby the Association in those instances where a member is using club facilities and equipment to make items for sales for personal profit.

E. Arts and Crafts:

1. Clubs may sell supplies to members as long as any profit is returned to the club.
2. Clubs are responsible for paying sales tax when purchasing supplies unless they have an approved Sales Tax Resale Certificate.
3. The club is responsible for defining guidelines to ensure that such income is controlled, documented, and properly distributed.

4.6 CAPITAL EXPENSES:

A “Capital Expense” is defined as an expense that costs over \$5,000 (five thousand dollars) and has a useful life of 2 or more years. All requests that qualify as a capital expense shall be handled through the current capital expense routine that becomes part of the annual budget. In every case

clubs will be asked to contribute to the overall cost. Approval of any requests that do not qualify as Capital Expenses will depend upon the Community Association operating budget.

SECTION FIVE

FEES AND CHARGES

5.1 DUES AND SPECIAL ASSESSMENTS:

One of a club's sources of revenue is membership dues. Dues should be set to cover basic operating requirements.

5.2 FACILITY MAINTENANCE:

The Community Association will maintain an existing facility as to custodial service, routine repair and maintenance and the cost of utilities. If a club desires to modify or alter an existing facility, such work must be approved by the General Manager. The Community Association will then arrange for the work and bill the club on a cost-recovery basis.

5.3 ADMISSION FEES:

Occasionally, a club may have a need to charge admission fees (e.g. performances, classes, competitions, speaker functions, games, social functions, etc.) to offset related expenses as long as it is in accordance to S.C. Laws. Clubs may retain a reasonable amount of revenue, above expenses, to assist in operating requirements.

5.4 CATERING POLICY:

All rules and procedures herein shall agree with the Community Association "Room Rental Guidelines". If a conflict arises, the Community Association "Room Rental Guidelines" will prevail.

5.5 CLUB CONTRIBUTIONS & DONATIONS:

Club financial programs are developed to ensure basic self-sufficiency. With few exceptions, club income should not greatly exceed expenses (operating expenses and capital requirements), resulting in a net operating gain. Where revenues do exceed expenses, the net gain should be used to foster continued club growth and activity. Clubs who generate sizable net gains should be sensitive to this philosophy by allocating their excess to the club (first), the Community Association (second) and to community service organizations (third). Community Service Organizations shall be operating under IRS code 501(c) 3.

5.6 CLUB SOLICITATION:

Clubs should not solicit other clubs or the general community for events or donations to their programs. In addition, clubs shall not sell or allow commercial vendors to solicit or sell their products or services at club meetings/functions without prior written approval by Lifestyles Services.

APPENDIX A

Chartered Club Forms

All forms are available from Lifestyle Services in Palmetto Commons or on the Community Web Site.

FORM CC 10, CHARTERED CLUB APPLICATION

Submitted to the Lifestyle Department to start the application process to become a chartered club.

FORM CC 15, INTEREST GROUP REGISTRATION

Sub-groups, i.e., special interest groups, music interest groups, chapters may be formed as needed and submitted to Lifestyles Department.

FORM CC 20, INITIAL AND ANNUAL MEMBERSHIP ROSTER

A club must have 75 members to be chartered and maintain a minimum of 100 members or above annually. The Member's name and Community Association Activity Card number are required on this form.

FORM CC21, LIABILITY WAIVER

Approved standard form for clubs who want to utilize a Liability Waiver for their members. This form shall be retained by the club and is kept with the club's records.

FORM CC 30, BY-LAW TEMPLATE

Each Article and Section in the "By-Law Guidelines" is mandatory and must be in the same order as the sample. (See Appendix B). The "By-Law Guidelines" are to be used when writing new club by-laws or when revising existing club by-laws. Club by-laws should be reviewed annually to ensure compliance with club operations.

FORM CC 40, CLUB CHARTER APPROVAL

Form is signed and submitted by the club president. Once all necessary documentation is approved and signed by the Lifestyle Director and the General Manager, a copy will be returned to the club for their files.

FORM CC 50, NEW CLUB OFFICERS

Submitted annually to the Lifestyle Department within 14 days of new club officers taking office. This form must be signed by all officers prior to submitting.

FORM CC 70, INCIDENT/ACCIDENT REPORT

This report must be completed and submitted to Lifestyle Services if there is any incident or accident occurring on Community Association property. This form is required regardless of whether EMS is called.

FORM CC 80, CONTRACT FOR PAID SERVICES

If a club pays any individual or group such as an instructor or speaker (residents or non-residents, club member or non-club member) to provide a contract service, there must be a signed contract. When this contract is signed by both the club and the paid contractor, a copy must be turned in to the Lifestyle Department along with a W-9. Form CC81 is also required. If there is no fee paid for services rendered and the individual or group is volunteering the time a contract is not necessary.

FORM CC81, ACKNOWLEDGEMENT OF INSURANCE RESPONSIBILITY AND WAIVER AGREEMENT

Form shall be completed any time an individual is engaged to provide contracted services.

FORM CC 84, W-9 FORM

Form is the Request for Tax Payer Identification and Certification. Instructions for the preparation of this report are included with this form.

FORM CC 90, ANNUAL FINANCIAL REPORT

Prepared annually and submitted to Lifestyle Services by January 31st, each year. It covers the preceding calendar year for the club and all sub-groups. Instructions are included with this form.

FORM CC 92, 1099 INFORMATION FORM

Complete for each contracted person or group who is compensated during the calendar year to provide a service for a club. The report is due annually to Lifestyle Services by January 10th. Reimbursements should not be included on this form.

FORM CC93, SALES TAX FORM

To be completed at the end of each quarter and submitted to Lifestyle Services.

FORM CC 95, EQUIPMENT, FURNITURE AND OTHER PROPERTY

The CC95 report is required for insurance purposes. Record all club equipment, furniture and other property either purchased or received as a donation that have a replacement value of \$500 or more and have a useful life greater than one year since the last report was submitted. Similar items having a combined replacement value of \$500 or more should also be listed. Also record any deletions to club property since the last report was submitted. This CC95 report is due in Lifestyle Services by the end of September each year.

FORM CC 100, CHARTERED CLUB DONATION

Chartered clubs may accept items as donations. Since they cannot be reported as a donation item to the Internal Revenue Service; this form must be completed in order for the donor to document the fact that the Community Association has not been qualified as a tax- exempt entity under federal law. A copy should also be turned in to Lifestyle Services.

FORM CA115R, CLUBS/GROUPS/SOCIALS/MEETINGS/PRIVATE FUNCTION ROOM REQUEST

Clubs requesting space for meetings or parties/social functions shall use this form up to one year before the function. Allow 5-7 working days for Lifestyle Services to confirm or deny your room request. Instructions for the preparation of this report are included with this form.

FORM CC 101, CHARTERED CLUB MEMBER CHARGE AUTHORIZATION

This form can be obtained from Lifestyle Services for clubs who permit their fees to be charged and paid through the Community Association member's account. The club will process the completed and signed form.

FORM CC121, SPREADSHEET FOR MEMBER CHARGES

Report shall be completed at the end of each month and the total is over \$50 it shall be submitted to Lifestyle Services.

FORM CC130, REQUEST FOR CHARTERED CLUB PROBLEM RESOLUTION

Form is used when a situation or issue within a club needs to be resolved with outside intervention.
Turn completed form in to Lifestyle Services.

APPENDIX B

GUIDANCE FOR WRITING AND REVISING CHARTERED CLUB BY-LAWS

General Guidance. Whether you are a prospective new club, drafting initial by-laws, or an established club, revising current by-laws, this guide should help. It should be used in conjunction with the accompanying “By-Laws Template” (Form CC 30) which illustrates the standard components of chartered club by-laws.

Approval. By-laws should be reviewed annually and revised, as necessary. When revised, the entire by-laws document (Form CC 30), with changes, should be submitted to Lifestyle Services for approval, see Article VII, Section B for the specific procedure. When questions arise regarding your by-laws or changes to it, Lifestyle Services should be consulted.

Sections. Each article and section within the article are mandatory and must be addressed. The numbering and lettering are to be kept in the same order as the accompanying By-Laws Template. If appropriate, additional sections may be added at the end of the mandatory sections. While the accompanying Template specifies the sections that are required in any club by-laws, it is recognized that the 70+ clubs at Sun City Hilton Head vary dramatically in size and purpose, in resources and functions. Therefore, the By-Law Guidelines are intended to be flexible enough to address the needs and character of different clubs.

The accompanying Club By-Laws Template lists each Article and Section to be included as you prepare (or revise) your by-laws. Often, statements used in the Template will be all that is required. In other cases, you may wish to tailor certain sections to your club’s particular situation. This guide will indicate where certain statements are mandatory and where modifications may be appropriate. The word “shall” indicates a mandatory requirement.

Brevity and Practicality. The best guidance is to “keep the by-laws clear and simple.” The more you include, the more frequently you may have to make revisions as exceptions and challenges arise. The final guidance, however, is that the by-laws should provide workable guidance for your club.

Club by-laws are intended to (a) identify basic rules and procedures enacted by a club as a framework for its internal operations and membership participation, (b) provide transparency and accountability to the membership, and (c) assure that club operations are consistent with the non-profit status of the Community Association. As such, many provisions of the Chartered Club Rules and Procedures (CCR&P) need not be reflected within club by-laws. Therefore, it is recommended that by-laws be short, simple and basic. Less is better.

CC30 - CHARTERED CLUB BY-LAW TEMPLATE

THIS FORM SHALL BE COMPLETED IN CONJUNCTION WITH THE *GUIDANCE FOR WRITING AND REVISING CHARTERED CLUB BY-LAWS*

Located in CCR&P's Appendix B

ARTICLE I – GENERAL

Section A. Name of Organization (Name)

Section B. Purpose of Organization (Define)

Section C. These By-Laws willfully comply with the Community Association's (hereafter referred to as "Association") Governing Documents ("Documents"), and Chartered Club Rules and Procedures ("Rules"). In the event of a conflict between these By-Laws and the Documents, or Rules, the Documents or Rules shall prevail.

Section D. This Organization shall be operated as a non-profit homeowner's association in accordance with applicable statutes and the Association's Documents.

Section E. Sub-groups, i.e., special interest groups, music interest groups, chapters may be formed as needed. See Procedures for Charter Application 2.2

ARTICLE II - MEMBERSHIP

Section A. Membership shall be open to all Association members in good standing without discrimination as to race, age, religion, color, ethnic culture, or national heritage. Members shall be required to present their Activity Card or member number when joining the club.

Section B. There shall be no precondition for membership, other than every member must submit a valid CA number. If a particular skill is required, the club must provide instructions to prospective members. Members shall not be required to join any national, state, or regionally affiliated organization.

Section C. Guest privileges. Guests may be either non-member residents or non-resident guests. Guests may attend a maximum of three meetings per year as a non-member. Thereafter, a resident shall be required to become a dues' paying member. Non-resident guests may visit three times in one year, but not in any subsequent year. Non-resident guests may not become members of any club.

Section D. Dues/renewal dues shall be paid annually for the calendar year, January 1 through December 31 and are determined by the executive board. Any increase in dues shall be approved by the general membership. Club membership is required to be renewed annually.

ARTICLE III – OFFICERS

Section A. The executive board is the governing body of the club. It shall consist of (as a minimum) a President, Vice-President, Secretary/Treasurer. Any one member may not hold more than one position on the Executive Board. No two members of the same household may serve on the same executive board.

Section B. The Executive Board Members shall be elected by a vote of the general membership, shall serve without compensation and shall be considered the governing body of the Club. The newly elected officers (or appointed officers, in case of a vacancy), shall attest that they have read and understand and will abide by the club's by-laws, the Association's Chartered Club Rules and Procedures, and the Schedule of Fees and Community Rules. They do this by signing the New Club Officer's form CC 50 and forwarding it to the Lifestyle Services by December 1st.

Section C. Terms of Office and Responsibilities

Each officer shall serve a term of ____ year(s). The President of the Executive Board is limited to two consecutive terms. Other officers may serve two or more terms, unless otherwise limited by these by-laws.

Responsibilities. The president shall preside at all meetings; consult with other officers of the organization and/or the membership on all matters of concern to the organization.

The vice-president shall preside at meetings in the absence of the president and assist whenever necessary.

The secretary shall record minutes of all executive board meetings and formal meetings of the club's general membership.

The treasurer shall keep all records of financial transactions and assets, collect dues, keep an up-to-date membership list to include the CA# and maintain the club's checking account.

The officers shall each have such powers and duties as generally pertain to their respective offices.

Section D. Nomination and Election Procedures All members of the Executive Board will be elected by the club's general membership present or electronically.

(a) A nominating committee consisting of no less than ____ club members shall be appointed by the _____ (president or the executive board) at the _____ meeting each year. The nominating committee shall present the proposed slate of officers at the club's general membership meeting during _____ of each year. Nominations may be made from the membership following the report from the nominating committee.

(b) Officers shall be elected by a majority vote of the membership. Voting may be by a show of hands if uncontested, electronic or shall be by secret ballot if more than one member is running for

the same office.

Section E. Executive Board Meeting Quorum Procedures. The Executive Board shall hold regular meetings and at the discretion of any member of the board. A quorum shall consist of 51% of the executive board members.

Section F. Executive Board Meeting Voting Procedures. Voting shall be by majority agreement.

Section G. Vacancies of Officers. Interim appointments shall be made by the _____ (president or executive board), to fill un-expired terms of office if and when an office becomes vacant. Interim appointment procedures must be followed per club by-laws within 14 days of the vacancy.

Section H. Officers (Recall). Written notice of a proposed recall shall be given to members at least two weeks prior to any meeting called for such a purpose. An officer shall be removed from office by a 10% vote of the membership present at such a meeting. The vote shall be by secret ballot.

Section I. All executive board members, upon retiring from office, shall deliver all records, room reservations, historical information and other property belonging to the club to their successor.

ARTICLE IV - MEMBERSHIP MEETINGS

Section A. Types and Frequencies of Meetings. General membership meetings shall be held (e.g., *monthly or quarterly*). Special meetings may be called by the executive board. All meetings require either written or electronic notice to **all** members at least two weeks prior to the meeting. An agenda is required to be sent at least one week before the meeting.

Section B. Procedures not covered by these by-laws shall be governed by Robert's Rules of Order. See Appendix C in the CCR&Ps, Parliamentary Procedures.

Section C. Quorum. A quorum at a regular or special meeting shall consist of a minimum of 10% of the club's members at that time.

Section D. Voting procedures unless otherwise stated in these by-laws, a majority vote by show of hands, shall be considered the will of the club.

Section E. Intervention Procedure

If the Executive Board cannot resolve problems within the board members of the club, then a CC130 shall be sent to Lifestyle Services via email. If an issue arises with the club membership, the club member should bring the issue to the club's Executive Board. If a problem arises with a

member in a sub-group it should be dealt with within the subgroup. If it cannot be dealt with within the subgroup it shall come to the club's Executive Board.

ARTICLE V – FINANCIAL

Section A. Financial records shall be maintained for a period of seven (7) years. These records shall remain with the current treasurer.

Section B. Dual signatures are required on all checks over \$500. Electronic payments require two signatures on invoices. All expenditures shall be paid from the club's checking account, regardless of the amount. The purchasing of all equipment and furniture over five-hundred dollars (\$500.00) which is intended to become a permanent asset of the Community Association, must be reviewed and approved by Lifestyles.

If the Club has adopted a budget: All activities that involve financial transactions shall operate within the budget which shall be approved annually by the general membership. Non-budgeted *expenditures of up to \$___ per transaction shall be approved by the Treasurer.

If the Club does not have a budget: Expenditures of \$_____ shall be approved by the treasurer. Expenditures in excess of _____ shall be approved by two executive board members. Expenditures over \$_____ shall be approved by the general membership.

Section C. If any financial transactions take place within the club, the records must be certified on an annual basis by an individual(s) other than those elected to the executive board or their immediate family. The results of the certification (i.e., Form CC 90) shall be presented to the general membership and duly recorded in the applicable minutes of the meeting at which presented. If there are special interest or music interest groups, their CC90 must be consolidated into the CC90 of the chartered club.

Section D. Responsibility for cash and inventory control shall be designated to an officer by the executive board. The financial records shall include:

- A record of all moneys collected and dispersed into the club's checking account
- An annual membership list (Form CC 20)
- An annual inventory of all equipment and furniture on (Form CC 95).
- An annual financial report based on a calendar year (Form CC 90). This report shall be submitted to the Lifestyle Services and made available to the general membership.

ARTICLE VI – COMMITTEES

Section A. Standing committees and ad hoc committees shall be created as the executive board deems necessary to promote the objectives of the club.

Section B. Committee chairpersons may be appointed by the president or executive board.

ARTICLE VII – BY-LAW REVISIONS

Section A. Notice requirement and procedure. Proposed by-laws changes shall be approved by the executive board and submitted to the Lifestyle Services for preliminary approval prior to their submission to the general membership for its approval. Club members shall be notified in writing of any meeting to amend the by-laws; such notice shall be a minimum of two weeks prior to that meeting.

Section B. To revise the by-laws of this club requires a majority vote of the membership present or electronically at a meeting duly called for such a purpose, a quorum being present, and required notice being given. A complete revised copy of the by-laws will be presented to the club members and, upon a majority vote by the membership, will be forwarded to the Lifestyle Director for final approval.

ARTICLE VIII – DISSOLUTION

Prior to club dissolution, and after all debts are satisfied, all property and assets under the club control shall be documented and physically relinquished to the Community Association through the Lifestyle Services.

APPENDIX C

PARLIAMENTARY PROCEDURES

Parliamentary procedures are a set of guidelines for conducting general membership meetings, executive board meetings and committee meetings. These procedures allow everyone to be heard and the group to make decisions by majority rule without confusion. Since these are time tested democratic procedures, they provide order, fairness, decorum and protection for club's leaders. The following is based upon Robert's Rules of Order but simplified to be commensurate with the nature of chartered clubs.

A. Basic Principles

- The group's president or chair should prepare a preliminary agenda and distribute it in advance of the meeting.
- A quorum of 10% of the membership must be present for the group to take action in any meeting.
- Only one question at a time may be considered and only one person may have the floor at any one time.
- No person can speak until recognized by the chair.
- Personal remarks are always out of order.
- The president or chair should always remain impartial

B. Typical Order of Business

- Call to Order
- Determine if a Quorum is present
- Adoption of the Agenda
- Reading (may be dispensed with) and approval of the minutes of the previous meeting
- Reports of Officers
- Reports of Committees
- Status of Electronic Ballots
- Old Business
- New Business
- Announcements
- Adjournment

C. Role of the President or Chair

- Set dates and venue for meetings
- Remain impartial during debate
- Try to develop a consensus – more than a simple majority but NOT necessarily unanimity
- Request someone to make a motion, the president or chair does not make motions
- Request seconds for motions

- Recognize speakers
- Maintain order
- Put motions to a vote and announce results
- Vote only to break or create a tie – Exception: for elections with more than one person running for the same position ballots shall be used and the president or chair may vote
- Initiate electronic letter ballots for the Executive Board

D. Procedure for Handling Motions

- Member makes a motion
- Motion seconded by a different member (if no second the motion is dead)
- Any member can suggest a modification of the wording to clarify the motion. The maker of the motion can choose to accept or reject the modified wording (does not require a second)
- The president or chair will restate the motion and open debate.
- After the debate ends or a reasonable time has been allowed for debate; if necessary, the president or chair clarifies the consequences of affirmative and negative vote
- The president or chair calls for a vote by a show of hands and announces the result. The president or chair does not vote except to break or create a tie. If there is a tie the motion fails.

E. Electronic Letter Ballots

- Electronic Letter Ballots should include:
 - a) Title
 - b) Statement; an explanation of the issue or project
 - c) Question; exactly what is being voted on
 - d) I vote; agree, disagree, abstain
 - e) Voters name
 - f) Due date and time
- If during the balloting a single person votes “Disagree” the balloting stops and must wait for the next face-to-face meeting so the matter can be discussed.

F. EXECUTIVE BOARD MEETING VOTING PROCEDURES

- Executive board members may participate by telephonic or electronic means in meetings and possess the same authority as members who are physically present at the meeting, provided that all of the following conditions are met:
 1. The presiding officer/chairman and two (2) other executive board members are physically present at the meeting place
 2. All members attending in person or by telephonic or electronic means can hear any and all comments made at the meeting
 3. All comments, motions, and votes of the member(s) attending by electronic means are recorded in the minutes of the meeting
 4. Voting shall be by majority agreement
 Electronic participation shall be limited to situations that prevent physical attendance at the meeting.